INITIAL DRAFT MEMORANDUM

Infinity Living

289-Unit Class A Multifamily (Podium Construction)

Austin, TX

April 2026

Confidential

EXECUTIVE SUMMARY

Forest Way Capital is evaluating a ~$60 million senior construction loan to finance Infinity Living, a 289-unit Class A multifamily development in Austin's South Congress corridor. The seven-story podium project will deliver nearly 287,000 rentable square feet of residential space, complemented by a small ground-floor retail component, with average unit sizes of 875 square feet and including 28 affordable units. The loan represents approximately 65% of total project costs of $92 million and underwrites to a stabilized debt yield of 8.0%, supported by a substantial equity contribution of ~$32 million, or 35% of capitalization. The investment is driven by a confluence of favorable dynamics: a supply-constrained submarket with vacancy meaningfully below the broader Austin average, a recent DB-90 rezoning that materially increased allowable density and lowered the cost per unit basis, a well-capitalized structure with meaningful sponsor investment, and a delivery timeline that coincides with a sharp deceleration in new supply. With only limited competing units planned nearby and strong local demand fundamentals, the project is positioned to deliver and lease up into an improving environment. FWC underwrites a more measured lease-up pace of approximately 15 units per month over 18 months, versus the Sponsor's projected 24 units per month over a 12-month stabilization period, reflecting a more conservative view on absorption and execution risk. On a 42-month hold, the investment is projected to generate an 18% IRR and a 1.42x multiple on a levered basis.

TRANSACTION OVERVIEW

Deal Parameters

Loan Amount	$60,042,662	**Loan $/Unit**	$207,760
Total Project Cost	$92,367,962	**Cost $/Unit**	$319,612
Stabilized DY (FWC UW)	8.0%	**Stabilized DY (Sponsor)**	8.8%
Yield on Cost (FWC UW)	5.3%	**Yield on Cost (Sponsor)**	6.2%
Loan-to-Cost (LTC)	65%	**Max LTV**	65%
Units	289	**Rentable SF**	286,946
Property Class	A (New Construction)	**Stories**	7
Construction Type	Podium	**Avg Unit Size**	875 SF
Submarket	South Congress Corridor	**Metro**	Austin
Sponsor / Developer	Rastegar Capital	**Est. Delivery**	Late 2028
Est. Stabilization	2029	**Affordable Units**	28 (10% at 50% AMI)

Proposed Sources

Source	% of Total	$/Unit	Total
Senior Loan	65	$207,760	$60,042,662
Preferred Equity	14%	$ 45,490	$13,146,615
Additional Equity	19%	$ 60,255	$17,413,685
Sponsor Equity	2%	$ 6,107	$1,765,000
Total Sources	**100%**	**$319,609**	**$92,367,962**

Proposed Uses

Use	% of Total	$/Unit	Total
Land (Based on 289 Units)	8%	$24,221	$7,000,000
Hard Costs	76%	$241,886	$69,904,921
Soft Costs	4%	$12,956	$3,744,400
Retail Tenant Improvements	0%	$740	$213,840
Retail Leasing Commissions	0%	$175	$50,520
Development Fee	2%	$5,467	$1,579,967
Broker Fee	1%	$2,078	$600,427
Origination Fee	1%	$2,078	$600,427
Operating Reserve	1%	$2,183	$630,800
Interest Reserve (Senior)	9%	$27,829	$8,042,662
Total Uses	**100%**	**$319,609**	**$92,367,962**

INVESTMENT THESIS

1. Supply-Constrained South Congress Corridor

The South Congress corridor is one of Austin's most desirable and supply-constrained submarkets, with vacancy ranging from 8% to 10% compared to 15.3% across the metro. A sharp pullback in new construction starts, driven by tighter lending conditions and elevated costs, has set up a more favorable environment for upcoming deliveries. New supply has been limited in the immediate area, with South Austin's share of metro inventory declining to just 4.5%, while nearly 30% of recent deliveries have been concentrated in northern submarkets located well outside the urban core.

Key data: *South Austin vacancy 8-10% vs. metro 15.3%; Only 352 units projected within 5-mile radius post-Q2 2026; 3-mile radius drops to just 115 planned units; 31,000 units absorbed past 12 months (#4 nationally); South Austin captures only 4.5% of metro new supply vs. 30% in northern submarkets; MSA deliveries declining from 5,500 (Q1 2025) to 969 (Q3 2026).*

2. DB-90 Rezoning Creates Embedded Value in Land Basis

In May 2024, Rastegar Capital secured a DB-90 zoning designation for the subject site, contingent upon the inclusion of affordable units. This rezoning increased allowable height from 60 to 90 feet and expanded unit count from 92 to 315, a 243% increase in density. As a result, the land basis equates to $24,221 per unit, materially lowering the overall cost per unit.

Key data: *DB-90 approval May 2024; Unit count increase from 92 to 315 (243% increase in density); Height increase from 60ft to 90ft (50% increase); Land basis $24,221/unit vs. total cost $323,845/unit; Land cost represents only 7.5% of total capitalization.*

3. Adequate Equity Cushion and Capital Structure Protection

The capital structure is anchored by a meaningful equity cushion, with 35% of total capitalization subordinate to the senior loan. In total, ~$32.3 million of equity sits behind the debt, layered across preferred equity, additional equity, and direct sponsor co-investment, providing multiple levels of loss protection. While the sponsor's ~$1.8 million commitment represents a relatively modest portion of the stack, it ensures alignment alongside an ~$8.0 million interest reserve that is sized to fully carry debt service through stabilization. Additionally, at this leverage point we are underwriting to over an 8% debt yield upon stabilization providing further cushion should the market be softer than anticipated.

Key data: *LTC 65% with 35% equity subordination; Total equity $32.3M (preferred $13.1M, additional $17.4M, sponsor $1.8M); Interest reserve ~$8.0M covering debt service through stabilization; Operating reserve $0.6M for lease-up costs.*

4. Favorable Delivery Timing Amid Decelerating Supply

Infinity Living's projected delivery in late 2028 coincides with a pronounced slowdown in new supply across the Austin metro. Construction starts have pulled back materially from prior peaks, with planned deliveries declining from roughly 5,500 units in early 2025 to fewer than 1,000 units by late 2026. Supply in the immediate area is even more limited, with only 115 units expected within a three-mile radius. This timing positions the project to deliver into a tightening environment, where reduced competition and steady absorption in South Austin support the potential for strong lease-up performance.

Key data: *MSA deliveries declining from 5,500 (Q1 2025) to 969 (Q3 2026); 3-mile radius drops to 115 units planned; 28-month construction targets late-2028 delivery; 10% affordable component (28 units) provides occupancy floor during lease-up; Austin #9 fastest-growing city, adding 61,000 new residents in 2024.*

PROPOSED LOAN STRUCTURE – CONSTRUCTION (WITH BACK-LEVERAGE)

Loan Amount	$60,042,662
Loan Type	Senior Construction Loan
Fixed/Floating	Floating
Index	SOFR (3.67% as underwritten)
SOFR Floor	3.5%
Spread	400 bps
All-In Rate	7.7%
Origination Fee (In)	1.0%
Origination Fee (Out)	1.0%
Term	4 + 1
I/O Period	Full Term (Construction + Stabilization)
Annual I/O Debt Service	$4,589,151

The proposed financing consists of a ~$60 million floating-rate senior construction loan priced at SOFR + 400 basis points with a four-year term. Loan proceeds fund approximately 65% of the ~$92.3 million total project cost, with the remaining 35% supported by a layered equity contribution across preferred equity, additional equity, and sponsor co-investment. The facility is structured as interest-only for the full term, encompassing both the 28-month construction period and the subsequent lease-up through stabilization. An ~$8.0 million interest reserve is funded at closing to carry debt service through completion, complemented by a $0.6 million operating reserve to provide additional flexibility during lease-up. To determine the potential leveraged return, we have assumed a back-leverage facility priced at SOFR + 250 basis points with a pari passu funding structure.

PROPERTY & MARKET OVERVIEW

Property Description

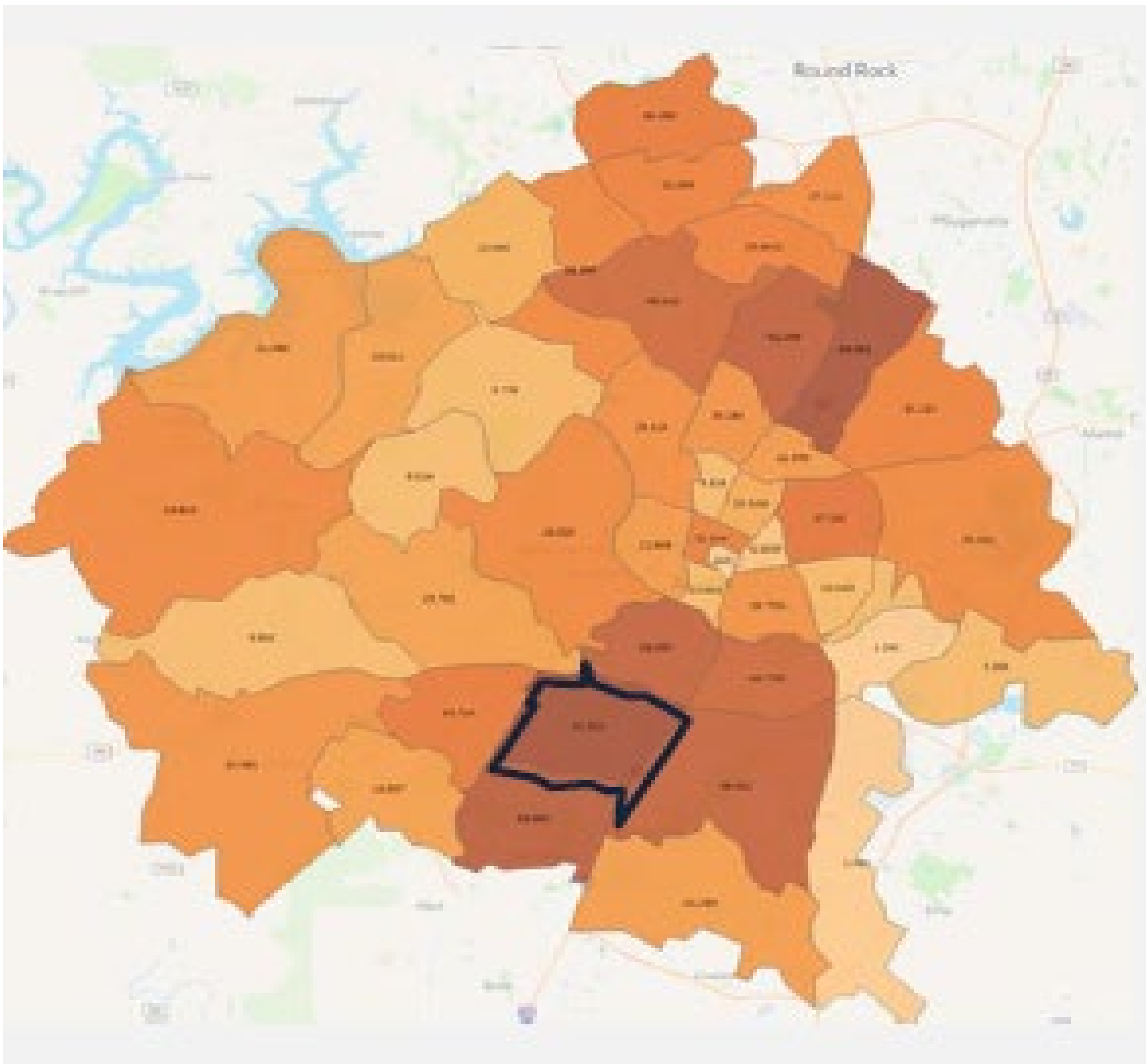
Infinity Living is a proposed 289-unit, seven-story podium multifamily development located along South Congress Avenue in Austin's 78745 corridor. The project will deliver approximately 287,000 rentable square feet of residential space, complemented by a small ground-floor retail component, with average unit sizes of 875 square feet across a well-balanced mix of studios, one- and two-bedroom units, townhomes, and live/work residences that activate the street frontage. A portion of the units will be set aside as affordable housing, aligning with the requirements of the site's DB-90 zoning. The design centers around a "Jewel Box" mezzanine concept, anchored by a third-floor amenity deck featuring a resort-style pool, wellness-oriented offerings, and curated outdoor spaces. The property benefits from prominent frontage along one of Austin's most recognizable retail corridors and sits within close proximity to major employment hubs, including Tesla's Gigafactory, Oracle's waterfront campus, and the University of Texas, with future transit connectivity further enhanced by a planned light rail stop within walking distance.

Unit Mix

Units	Amount	SF	$/SF (Sponsor)	$/SF	% delta	Rent/Unit	Annual Rent
Live Work	9	918	3.00	2.50	(16.7)%	2,295	247,860
Townhome (Mkt)	5	1,286	3.00	2.42	(19.3)%	3,111	186,669
Townhome (Aff.)	5	962	1.39	1.39	-	1,337	80,231
Studio (Aff.)	18	522	2.24	2.24	-	1,169	252,564
Studio (Mkt)	19	556	2.55	2.55	(0.2)%	1,419	323,503
Trad. 1 BR	47	717	2.54	2.50	(1.8)%	1,793	1,011,480
Large 1 BR	102	762	2.52	2.50	(1.0)%	1,904	2,330,430
2 BR (Aff.)	5	973	1.38	1.38	-	1,343	80,564
Trad. 2 BR	36	1,072	2.42	2.20	(9.3)%	2,357	1,018,354
Large 2 BR	43	1,363	2.23	2.20	(1.2)%	2,998	1,547,146
Average/Total(s)	**289**	**875**	**2.44**	**2.37**	**(2.8)%**	**2,041**	**1,394,783**

Submarket Metrics

Submarket	South Congress Corridor / 78745
South Austin Vacancy	8-10%
Metro Vacancy	15.3%
5-Mile Pipeline (Post-Q2 2026)	352 units
3-Mile Pipeline	115 units
Metro 12-Month Absorption	31,000 units
South Austin Share of New Supply	4.5%
Median Household Income	$84,529



Metro Market Context

Austin's multifamily market is working through the final phase of an unprecedented supply cycle, with metro-wide vacancy elevated at 15.3% as of early 2026 following several years of outsized deliveries. Inventory expanded rapidly, driven by a surge in construction starts that culminated in over 5,000 units delivered in a single quarter at the peak. That wave is now receding. The pipeline has contracted meaningfully, with planned deliveries falling sharply from prior highs, setting the stage for vacancy to begin tightening as absorption continues to outpace new supply. Demand remains a defining strength, with Austin ranking among the top U.S. markets for net absorption and population growth, supported by steady in-migration and a resilient economic base. Employment fundamentals are equally strong, with unemployment tracking well below national levels and wages approaching U.S. averages. Within this broader context, South Austin has remained relatively insulated from the supply surge, maintaining materially lower vacancy due to limited new deliveries in the submarket. The 78745 zip code in particular benefits from strong household incomes and a deep renter base, reinforcing demand for well-located Class A product.

Rent Comparables

Property	Vintage	Avg SF	Units	Occupancy	Rent/Unit	Rent/SF
The Mercury	2025	955	261	76.2%	$2,489	$2.61
Bishop Momo	2024	771	274	93.1%	$1,851	$2.40
SOFI	2025	621	258	58.1%	$1,742	$2.80
St. Elmo Living	2022	—	387	92.5%	$1,814	$2.02
Debut Soco	2025	—	374	94.1%	$1,985	$1.95
Infinity Living (Subject)	**2028**	**875**	**289**	**—**	**$2,041**	**$2.37**
Comp Averages	**2025**	**782**	**311**	**83.0%**	**$1,976**	**$2.36**

The subject's underwritten rent of $2.37/SF is generally in line with the competitive set, with a modest premium supported by its newer vintage, strong amenity offering, and South Congress frontage. Comparable properties show similar rent levels across both lease-up and stabilized assets. The Sponsor projects slightly higher rents of $2.44/SF, above FWC's underwritten level, which appears reasonable given the property's positioning, larger unit sizes, and a moderating supply pipeline in the submarket. However, FWC has not underwritten to this level, maintaining a more conservative rent assumption.

FINANCIAL ANALYSIS

Operating Assumptions — Stabilized Pro Forma

	$/Unit	Underwritten	Stabilized
Gross Potential Rent	$24,494	$7,078,801	$7,220,377
Other Income	$3,757	$1,085,982	$1,085,982
Total Potential Residential Income	**$28,251**	**$8,164,783**	**$8,306,359**
Concessions	($1,225)	($353,940)	($268,578)
Vacancy & Credit Loss	($1,714)	($495,516)	($376,009)
Delinquent Rent	($245)	($70,788)	($53,716)
Total Effective Residential Income	**$25,068**	**$7,244,539**	**$7,608,056**
Retail Revenue	$461	$133,090	$133,090
Retail NNN Reimbursements	$139	$40,095	$40,897
Effective Gross Income	**$25,667**	**$7,417,724**	**$7,782,043**
General & Administrative	$346	$100,000	$102,000
Payroll	$1,730	$500,000	$510,000
R&M	$346	$100,000	$75,882
Utilities	$519	$150,000	$133,412
Marketing	$346	$100,000	$102,000
Rollover Reserve	$250	$72,250	$54,825
Contract Services	$346	$100,000	$88,941
Retail NNN	$139	$40,095	$40,897
Management Fee	$706	$203,987	$155,495
Property Taxes	$4,815	$1,391,400	$1,419,228
Insurance	$813	$235,000	$239,700
Total Operating Expenses	**$10,359**	**$2,992,732**	**$2,922,380**
Net Operating Income	**$15,311**	**$4,424,992**	**$4,859,663**
Operating Expense Ratio	—	**40.3%**	**37.6%**

RETURNS & EXIT ANALYSIS

Exit Assumptions

Hold Period	4 Years
Exit Cap Rate (FWC on FWD NOI)	5.25%
Exit Cap Rate (Sponsor on FWD NOI)	5.0%
Asset Sale Price (FWC – F3 NOI)	$65,605,369
Asset Sale Price (Sponsor)	$109,643,011
Net Proceeds (FWC)	$64,293,262
Net Proceeds (Sponsor)	$108,714,890

Deal Return Summary –Levered (FWC Senior Position)		
PROFIT	IRR	NET MULTIPLE
$3,977,510	17.97%	1.42x

Back-Leverage (Contemplated)

Advance Rate	80%
Total Underlying Loan	$48,034,130
Venture Net Investment	$12,008,532
Underlying Facility Rate	SOFR + 250 bps (6.14% all-in)
Origination Fee	0.5%
Exit Fee	0.5%
LTC	52%
DSCR I/O	1.50

RISK FACTORS & MITIGANTS

Risk Factor	Assessment	Mitigant
Construction and Lease-Up Execution Risk (28-Month Build)	**Elevated**	Ground-up development carries inherent cost overrun and schedule risk, compounded by uncertainty around lease-up pace and timing. To mitigate, the use of a bondable third-party GC under a GMAX or GMP with substantial percentage of the work bought out, coupled with detailed loan servicing. The 28-month construction timeline is reasonable for a 7-story podium project. Delivery in late 2028 coincides with a sharp decline in competing deliveries, positioning the project to benefit from a thinning pipeline.
Debt Service Coverage at Stabilization	Moderate	The debt yield of 8.0% on FWC's underwriting is slightly above the 7.64% all-in rate. The ~$8.0 million interest reserve funded at close covers the full debt service obligation through the projected stabilization date. Trended rents assume 2.0% annual growth per FWC's underwriting (versus the sponsor's 2.57%), which, if achieved, would push the debt yield significantly above the all-in rate within the first year of stabilized operations.
Interest Rate Sensitivity (Floating Rate at SOFR + 400 bps)	Moderate	The floating-rate senior loan is exposed to SOFR movements, which could compress returns or increase interest reserve draws. A 3.50% SOFR floor limits downside rate exposure. The current SOFR of 3.64% is near the underwritten level. Any decline in SOFR from the current level would improve debt service coverage and extend the interest reserve runway.
Limited Sponsor Development Track Record Visibility	Moderate	While the offering materials do not provide a detailed track record of comparable ground-up multifamily developments, Rastegar Capital has demonstrated clear local expertise through its successful execution of the DB-90 rezoning, a process that required navigating Austin’s complex regulatory landscape and coordinating with top-tier land use counsel. The sponsor’s $1.8 million co-investment provides a degree of alignment, and its broader platform as a vertically integrated Austin-based real estate firm with exposure across asset classes and Sunbelt markets supports its ability to execute on the business plan.
Exit Cap Rate Assumption (5.25% on FWD NOI)	Moderate	The 5.25% exit cap rate on forward NOI is relatively tight in the current interest rate environment and assumes stabilization at underwritten rents. The South Congress corridor's supply constraints, demographic tailwinds (78745 median household income of $84,529), proximity to major employment centers (Tesla Gigafactory, Oracle campus, UT Austin), and the planned light rail station one block away support premium valuation for institutional-quality newly stabilized multifamily. The project's total cost basis of $319,612 per unit is competitive for new-construction Class A multifamily in Austin. A stabilized debt yield of ~8.0% positions this investment at a favorable basis to historic norms.

DEBT SERVICE & STABILIZATION TIMELINE

Current Debt Metrics

All-In Rate	7.64%
Annual I/O Debt Service	$4,589,151
Interest Reserve	$8,042,662
Construction Period	28 Months
Debt Yield	8.0%

Stabilization Timeline

FWC's underwriting assumes untrended rents of $2.37/SF, producing a stabilized NOI of $4,859,663 and a debt yield of 8.0% which is slightly above the all-in rate of 7.64%. The sponsor's trended rent assumption of $2.44/ would generate additional rental revenue sufficient to widen the gap. Additionally, FWC assumed vacancy at 7.0% and concessions at 5.0% of GPR versus the sponsor’s 5.0% and 4.5% assumptions, respectively. Achieving the sponsor's rent growth alone would bring the stabilized debt yield significantly above the all-in rate within the first year of stabilized operations, making the path to positive debt service coverage achievable through modest outperformance on any combination of rent growth, occupancy, or expense management.